NON-SOVEREIGN, QUASI-GOVERNMENT, AND SUPRANATIONAL AGENCY DEBT

Learning Outcome

- describe funding choices by sovereign and non-sovereign governments, quasi-government entities, and supranational agencies

The level and type of non-sovereign government funding vary widely among countries, depending on whether specific public goods and services are provided and financed at the national, regional, or local level. Some non-sovereign government issuers are similar to sovereign borrowers in that they can levy taxes to fund activities in their jurisdiction. Other non-sovereign issuers rely on national government budget allocations or user fees to meet interest and principal payments with or without the explicit financial support of a national or local government as a secondary repayment source. The ability of non-sovereign issuers to access funding across maturities is affected by the predictability and stability of these sources of repayment, which are key determinants of the issuer's credit quality.

Government Agencies

Government agencies are quasi-government entities that issue debt in order to fund the government-sponsored provision of specific public goods or services based on sovereign or local law. This may involve the financing of specific activities promoted by the government or the operation of necessary infrastructure as mandated by law. For example, the Airport Authority of Hong Kong (AAHK), introduced in an earlier module, is the statutory agency for operating and developing the Hong Kong International Airport. AAHK issues a combination of short- and long-term debt to meet the airport's specific working capital and capital investment needs. The primary source of repayment is cash flows from airport operations, while its sovereign government backing is a secondary source of repayment.

The Government National Mortgage Association (known as Ginnie Mae, not to be confused with Fannie Mae or Freddie Mac) securitizes and guarantees certain mortgage loans in the United States to subsidize and promote home ownership. Ginnie Mae issues callable agency debt securities to finance its operations with maturities matching the expected cash flows of its guaranteed mortgages. The primary source of repayment for the agency's debt are mortgage-based guaranty fees and other cash flows with its sovereign government backing as a secondary source of repayment.

Both AAHK and Ginnie Mae issue debt with maturities and structures consistent with their respective underlying activities. That said, while each of these sovereign agencies is typically able to borrow at a yield-to-maturity near that of their sovereign guarantor, neither will benefit from the full liquidity premium associated with sovereign debt outlined in the prior lesson.

Local and Regional Government Authorities

Non-sovereign government authorities may either issue debt for general purposes, which is repaid from local tax cash flows, or issue debt to fund specific projects or infrastructure, which is repaid from user fees or other cash flows directly derived from the project. The former are referred to as **general obligation bonds** (GO bonds), which are used to fund public goods and services in the non-sovereign's limited jurisdiction, such as the Province of Ontario green bond issue described in the term sheet below. These unsecured bonds are repaid with tax revenues from the provincial government, though their use of proceeds is limited to eligible green projects.

Issuer:	Province of Ontario (Canada)
Settlement Date:	July 29, 2021
Maturity Date:	November 1, 2029
Principal Amount:	CAD2,750,000,000
Interest:	1.55% p.a.
Interest Payment:	Semi-annually on May 1 and November 1 of each year
Other Relevant Features:	An amount equal to the net proceeds of the Bonds will be recorded in a designated account in the Province of Ontario's financial records. This designated account will be used to track the use of and allocation of proceeds to "Eligible Projects," which include projects in the following sectors: 1. Clean transportation 2. Energy efficiency and conservation 3. Clean energy and technology 4. Forestry, agriculture, and land management 5. Climate adaptation and resilience

Revenue bonds, in contrast, are issued for *specific* project financing (infrastructure such as roads, bridges, or tunnels) with the source of repayment often linked to a project's revenue stream (tolls, fees, etc.). Revenue bonds usually involve longer-dated funding, the maturity of which often matches the expected life of matching project cash flows.

Supranational Organizations

Supranational organizations, such as the World Bank, International Monetary Fund (IMF), and Asian Development Bank (ADB), are created and supported by sovereign governments as member states in pursuit of a common objective, such as fostering economic cooperation and development, promoting trade, or providing financing to emerging economies in pursuit of sustainable growth. Member states typically share decision-making authority and provide implicit and explicit financial support to these organizations, resulting in the highest credit quality among these issuers and a strong ability to access capital markets across maturities. In other cases, supranational and sovereign organizations partner to form quasi-government agencies that can issue debt at a lower cost than an emerging market sovereign government. For example, PT Indonesia Infrastructure Finance (IIF) was introduced in an earlier lesson as a US dollar–denominated issuer in the Eurobond market. IIF's ability to access this and similar markets is derived from indirect Indonesian government ownership and the strong financial support from a consortium of public sector entities, including the Asian Development Bank, the World Bank Group's International Finance Corporation (IFC), and the German sovereign government development bank (Kreditanstalt für Wiederaufbau, or KfW).

Supranational issuers target bond investors in major currencies using global bond markets. In the example bond issue below, the Asian Development Bank borrowed in Indonesian rupiah (IDR) but will pay interest and principal to investors in US dollars. The amounts are fixed in Indonesian rupiah, with the payments in US dollars determined using the spot USD/IDR rate two days prior to each payment date, so investors are still assuming currency risk.

Asian Development Bank 7.80% Global Medium-Term Notes due 15 March 2034 Key Terms	
Issuer:	Asian Development Bank
Settlement Date:	18 March 2019
Maturity Date:	15 March 2034
Principal Amount:	IDR1,200,000,000,000 payable in US dollars
Interest:	7.80% p.a.

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Interest Payment:	Semi-annually on 15 March and 15 September each year
Listing:	Luxembourg Stock Exchange
Governing Law:	New York
Other Relevant Features:	The interest and principal amounts will be paid on each Interest Payment Date in US dollars converted from Indonesian rupiah at the applicable Reference Rate (as defined) on the Rate Fixing Date (as defined).

Question Set

1. Which of the following features is typical of revenue bonds? Revenue bonds typically:

A. provide shorter-dated funding.
B. fund general local government spending.
C. have maturities matching the expected life of matching project cash flows.

Hide Solution

Solution:

C is correct. Revenue bonds usually involve longer-dated funding, the maturity of which often matches the expected life of matching project cash flows. A is incorrect because revenue bonds usually involve longer-dated funding. B is incorrect because revenue bonds fund specific projects while general obligation bonds fund local governments generally.

2. The Asian Development Bank is an example of a:

A. government agency.
B. non-sovereign government.
C. supranational organization.

Hide Solution

Solution:

C is correct. Supranational organizations, such as the World Bank, IMF, and ADB, are created by several sovereign governments in pursuit of a common objective, such as fostering economic cooperation and development, promoting trade, or providing financing to emerging economies in pursuit of sustainable growth. A is incorrect because government agencies are subunits of governments formed to carry out specific laws or objectives. B is incorrect because non-sovereign governments preside over subdivisions of countries (e.g., the province of Ontario in Canada) through constitutional or legislative authority.

3. Member states of a supranational organization typically share decision-making authority and provide implicit and explicit financial support to the organization, resulting in which of the following levels of credit quality among these issuers?

A. Lowest
B. Average
C. Highest

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Solution:

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the highest credit quality among these issuers and a strong ability to access capital markets across maturities.

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

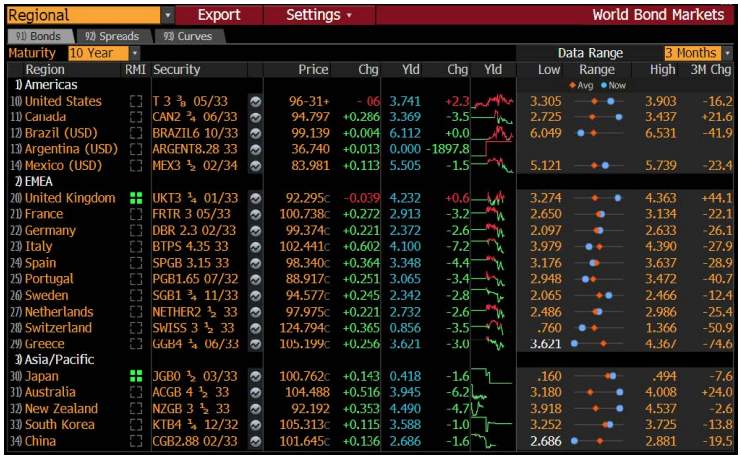
Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{WB} WORLD BOND MARKETS

The Bloomberg WB function allows you to view the benchmark bonds for major world markets.

> "WB <GO> provides a comprehensive overview of the international sovereign bond market, including yields, spreads, and curves from around the world. WB also visualizes yield and spread deviations from the average to help you pinpoint anomalies." -Bloomberg

To explore this function, type WB into the Bloomberg command line and press Enter or <GO>. Here, you can monitor sovereign debt data, spot extreme intraday market moves, find out whether a bond is trading rich or cheap, measure relative value, and compare historical trends on a chart.



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